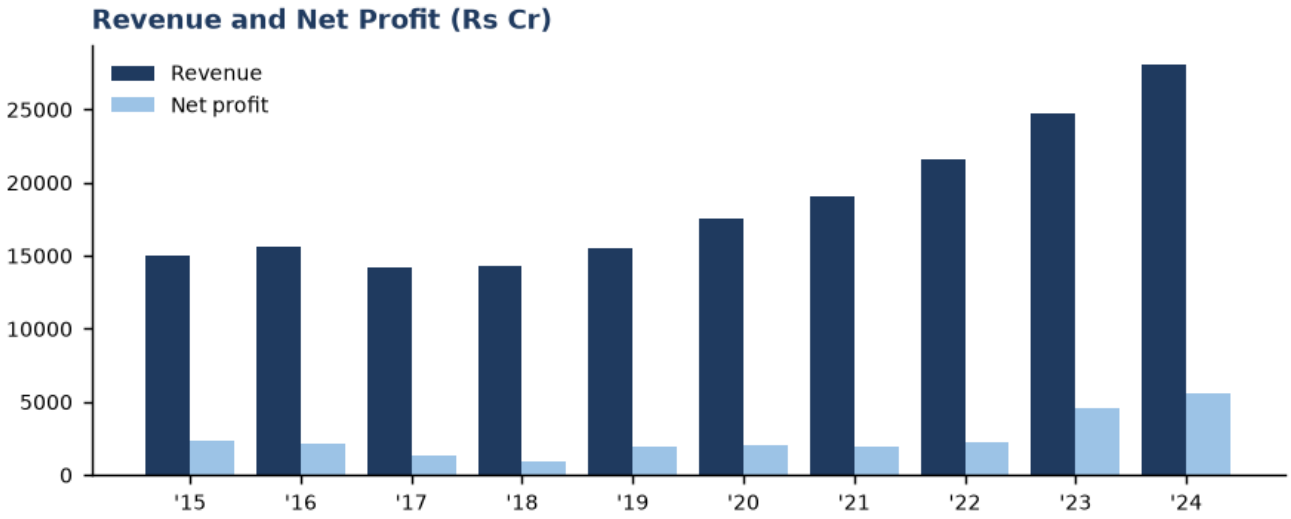
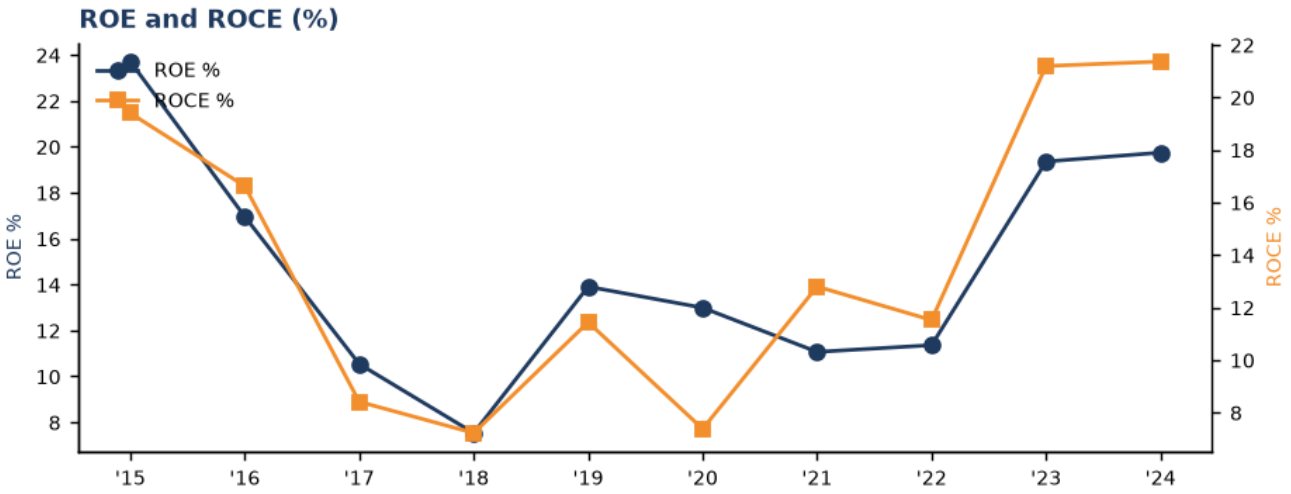
# Dr Reddys Laboratories Ltd

DRREDDY | Healthcare | Pharmaceuticals | Latest financial year: 2024-03

| ROE | ROCE | Net profit margin |
|---|---|---|
| **19.7%** | **21.4%** | **19.9%** |

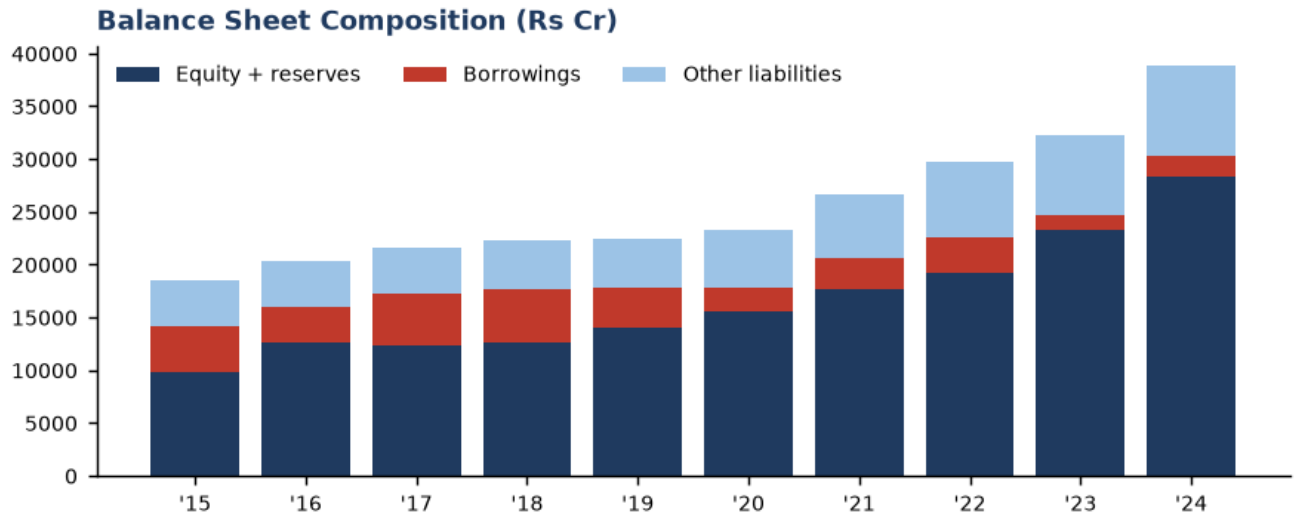
| Debt / equity | Revenue CAGR 5yr | Free cash flow (Rs Cr) |
|---|---|---|
| **0.07** | **12.6%** | **509** |

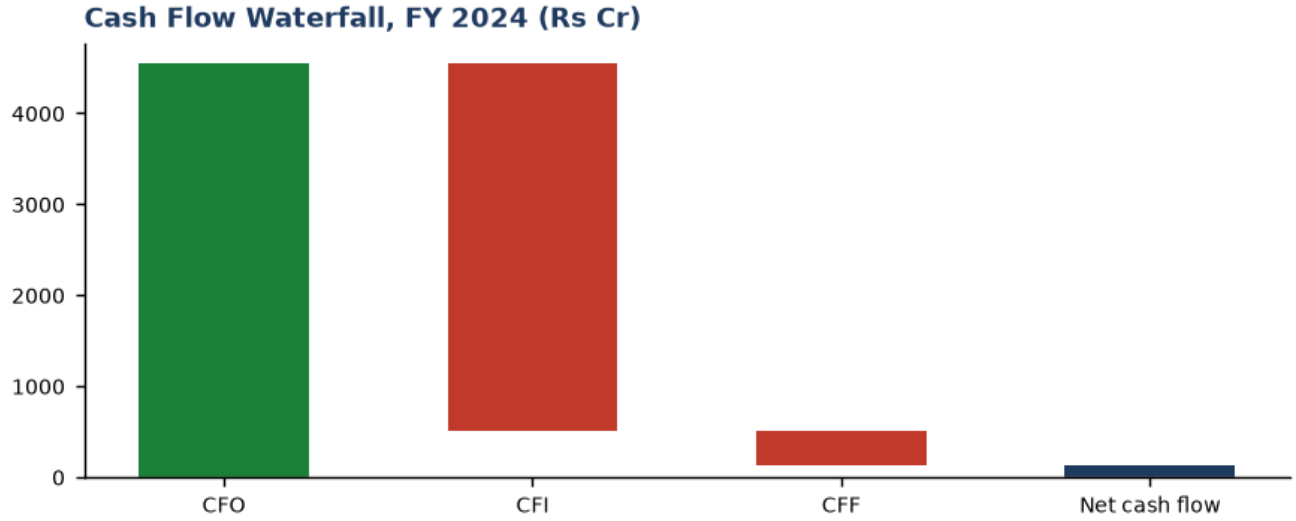


# Dr Reddys Laboratories Ltd

DRREDDY | Balance sheet, cash flow and qualitative view




## Key strengths and concerns (auto-generated, with confidence)

### Pros

- Very high interest coverage ratio reflects negligible financial stress from debt servicing (100%)
- Revenue growing slower than profits shows improving operating leverage and scale benefits (100%)
- Return on equity improving for 3 consecutive years shows strengthening business quality (95%)
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding (84%)
- Strong free cash flow generation over 5 years signals healthy business fundamentals (77%)

### Cons

- FCF margin of 1.8% ranks weaker than 100% of sector peers (100%)

**Capital allocation: Reinvestor**

Pros and cons are generated from KPI threshold rules and are not investment advice. Ratios use annual filings; market data is SIMULATED.